denying that Indira now had the poor firmly behind her. She had succeeded in making political capital out of the democratization of capital.

The legislation was challenged in the Supreme Court. Two writ petitions were filed, one by Rustom Cawasjee Cooper and the other by M.R. Masani. The Court granted an interim stay on July 22. A Bill to replace the ordinance was introduced on July 25 and it became an Act on August 9. Once the Act was passed, the Supreme Court vacated the stay order, but issued a stay order on September 8 against writ petitions filed against the Act. On February 10, 1970, the Supreme Court upheld the Parliament's legislative competence to acquire the banks but struck down nationalization on the grounds that there had been hostile discrimination against the fourteen banks insofar that they had been debarred from carrying on banking business when other banks had been permitted to do so. The Court also ruled that the methods and principles laid down for determining the quantum of compensation were invalid. The government issued a fresh ordinance on February 14, that removed the offending provisions of the earlier Act and took over the banks with effect from the same date i.e. July 19, 1969. The Banking Companies (Acquisition and Transfer of Undertakings) Bill, 1970, to replace the ordinance was introduced on February 27 and was passed by Parliament by the end of March. It received Presidential assent on March 31, 1970.

A new Banking Department was created in the Ministry under A. Bakshi from the RBI. Initially, the RBI was to be made the exclusive responsibility of the Banking Department, giving its Secretary a hold over the bank and future appointments in it. This was, however, vetoed by the Cabinet Secretary, D.S. Joshi, and ultimately it was decided that the RBI would remain under the Economic Affairs Department whose Secretary would remain on the RBI Board. The larger questions of monetary policy, management of government debt, and foreign exchange were retained by the Economic Affairs Department. The responsibilities of the Banking Department were clearly defined and related to allocation of bank credit and management of nationalized banks.

Postscript